

MGT74915: Organizational Behavior, Leadership, and Sustainability

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Course Description

Having knowledge and proficiency in areas such as finance, accounting, marketing, strategy, and operations is crucial for organizational success. However, it's equally important to have the ability to manage an organization, its groups, and its individuals. As you progress in your career, you will be working with, working for, and overseeing other people to achieve tasks and goals. Therefore, to be successful in your professional endeavors, it's vital to have an understanding of the human aspects of management and organizations in addition to the technical skills learned in other courses.

To this end, comprehending both behavioral and sociological underpinnings of the human side of management and organizations, this course aims to equip you with the key leadership and organizational-behavior concepts. In so doing, it places a particular emphasis in understanding the implications of these concepts and considerations on creating sustainable organizations, i.e., organizations that follow or are committed to advancing the principles of sustainable development. Throughout the course, we will explore the role of the leader as an architect and a change agent, who should have the capacity to understand change, be adaptable, embrace and effectively navigate ambiguity and uncertainty, and mobilize organizational members to engage and commit. Additionally, we will examine how leaders can effectively leverage social relationships in getting things done, when designing and leading sustainable organizations.

The course begins by introducing basic individual-level organizational behavior concepts, before moving on to sessions focused on interpersonal elements such as power, networks, and politics. The final part of the module centers on the sociological aspects of teams and organizations, and you will have the opportunity to apply your knowledge to real-life leadership challenges through a variety of learning methodologies. The course is built on cutting-edge research and knowledge in the fields of leadership, organizational behavior, and sustainability, but it also places a strong emphasis on understanding and addressing real-world issues. As such, when engaging in class discussions and working on your individual and group assignments, you are encouraged to reflect on your own vision and experiences regarding leadership, the challenges of creating and leading sustainable organizations, and the potential obstacles to becoming an effective leader. The focus of this course will primarily be on business organizations, but you will find that the concepts you learn have practical applications in other types of organizations, such as non-profit organizations, social clubs, and political groups.

Course Objectives

This course is designed to equip you with a set of perspectives, frameworks, and tools that will help you better understand and appreciate human aspect of any organization, no matter the sector of interest, as well as understanding sustainability-related implications of the learnings. The resulting curriculum aims to accomplish the following main goals:

1. Increase your knowledge of organizational behavior concepts so that you can comprehend how organizations and the people within them work.
2. Distinguish the factors that contribute to effective and ineffective team behavior, and learn how to manage and participate effectively in teams.
3. Recognize the leadership challenges and interpret how the leader can act as an architect of organizational systems and processes.
4. Appraise the role of social relationships in mobilizing and leading people and thus getting things done.
5. Develop your own leadership potential. Effective leaders are able to lead and manage people and information to accomplish organizational goals, even in uncertain and contentious contexts. Leaders must successfully be able to diagnose problems, communicate clearly, make effective decisions, motivate and influence others, manage diversity, and drive organizational change. The class exercises are designed to provide a well-rounded training that encompasses these dimensions and prepares you for (future) leadership roles.

Recommended Literature

The course consists of selected readings and cases, that will be found on the course page in the relevant session folder under the “Course Structure & Materials” tab.

Instructional Methods

To meet the objectives, this course uses readings, lectures, exercises, cases, individual and team assignments, and class discussion. Reading assignments and cases provide an important foundation for class discussion. It is important that you have completed the assigned readings thoroughly before class. Lectures will be used to highlight key points from the readings and provide additional information to supplement the readings. Exercises and cases will provide you with the opportunity to apply what you have learned to real world issues and scenarios. Because each of you brings unique perspectives and experiences to the class, participation in class discussions and activities is essential to your own learning as well as that of other class members. We will not have time to talk about everything covered in the readings in class, so be sure to email me or ask questions during office hours about anything that you do not understand.

Assignments and Grading

Your final grade will be based on the following components, which represent a total of 120 possible points:

Type of examination	Duration	Performance Points	Due date
Class Participation (individual)		25 points	During the semester
Two Case Write-Ups (individual)		20 points	During the semester
Final Case Study Report (group)		60 points	One week after the last session (exact date will be communicated)
Final Case Study Presentation (group)		15 points	In-class presentation week

Each of these assignments and the evaluation criteria are discussed in more detail below.

Class Participation (25 points): I expect all of you to actively participate. Although “participation” is defined in terms of both quantity and quality of the contributions, I prioritize quality contributions to class discussion and exercises. Whereas quantity is related to the frequency of your contributions, quality is about the impact of contributions to the progress of the class discussion, i.e., aspects such as adding new perspectives, sharing insights and previous knowledge, and/or critically challenging previous comments in a non-hostile manner. Please make sure that you follow below guidelines, which are crucial for a successful participation.

- Be in class and on time. If you're absent or late to the class, it will affect the level of your participation and contribution in class discussion. If you have a predictable reason for missing class, such as a job interview, or arriving late or leaving early on a specific day, please let me know at least 24 hours in advance.
- Be prepared. To contribute to class discussion, you must come to class having carefully processed the relevant course material for the session (i.e., readings, cases, exercises).
- Be bold and brave. Being present and prepared is only the first step, the next step is to actively participate and share your thoughts. Every person in this class is smart, interesting and has unique experiences to share, and by sharing with one another you all will get the most out of this course. I expect all of you to participate fully in all class activity and voice your views in class discussions. It is also important to ask questions about things you do not understand, as this helps the class discussion move forward and benefits both you and your classmates.
- Be courteous. The final aspect of successful participation is treating your classmates with respect and professionalism. When listening to the comments and questions of your classmates, pay attention to their perspectives and avoid repeating something that has already been said in the discussion. It is also important to express dissenting opinions in a respectful and kind way, as open debate can lead to more insightful class discussions. Keep in mind that when disagreeing with a classmate, it should be done in a considerate and professional manner. I expect all participants to extend these courtesies to each other.

Following above prerequisites to a successful participation will increase the points you will get from the class participation. Conversely, the evaluation of the class participation will be downgraded for participants who:

- try to dominate the class discussion
- make hostile or degrading comments about other participants' contributions
- show any other form of behavior that is dysfunctional for the class learning progress.

The professor will provide more information regarding the criteria for participation grading in the first session. It's important to note that the quality of this course is highly dependent on the quality of class discussions. Therefore, class participation points will not be replaced with alternative grading components due to individual circumstances (e.g., absence, self-identified introversion), except in cases where a certified medical condition prevents participation.

Individual Two Case Write-Ups (20 points—10 points each): You will deliver two case write-ups throughout the course period for two cases of your preference (we will cover 6-8 cases in total). The case write-up provides a unique opportunity to translate your learning and thinking into a short piece of your authentic reflections. In the write-up, please address the questions that I outline in the relevant session page. If there are no specific instructions provided for a particular session, organize your analysis under the following three headings: a) analysis of the problem(s), b) recommendations for solutions to the problems, and c) the implications of your recommendations. Each write-up should be between 500 and 800 words and should be submitted prior to the session in which the selected case will be discussed. Further details will be provided in class.

Group Case Study Report (60 points): The goal of this assignment is to analyze and apply the learned

concepts in a real organization examining a real organizational problem. You will organize yourselves under groups of five to seven members. Your group's task will be to use concepts from the course to identify, analyze, and develop a plan for resolving a key problem that an organization is facing.

Each group will be responsible for finding an organization to study using interviews, observations, and/or surveys. The organization can be a business, extracurricular club, sports team, or other social collective. Each group will inform me about the members of the group and the organization that it will study in advance (details will be discussed). Of course, I would recommend starting the project earlier so that you have adequate time to collect data and write your report.

- Report guidelines: The final case study group report should answer the following questions, using data from your interviews, observations, and/or surveys to support each answer:
 - 1) What is the nature of the organizational problem?
 - 2) What are the causes of the problem?
 - 3) How can organizational behavior, leadership, or sustainability concepts be applied and extended to solve the problem?
 - 4) What specific action steps should the organization take to solve the problem? What changes should be implemented?
 - 5) What are the potential barriers, obstacles, and challenges to following your recommendations?
 - 6) What are the risks, costs, and possible unintended consequences of following your recommendations?
 - 7) How will you communicate your findings to the organization and overcome potential resistance?

You will prepare a single report as a group. The minimum word count for the case study report is 2,000 words and the maximum word count is 3000 words. Throughout the report, feel free to use specific references to course readings and/or lectures to add credence to your diagnoses and recommendations.

- Selecting and working with your selected organization: In choosing your organization, you are welcome to use your networks, prior work experiences, and campus affiliations. I recommend starting the process by generating a list of possible organizations together as a group. Then, you can work collaboratively to negotiate entry into the organization, find a liaison to help you gain access to relevant data and employees, diagnose the problem, and write your report.
- Grading of the Case Study Report: Your group will receive one grade for the project. Additionally, I will ask you for evaluating your peers: you will assess each of your groupmates' individual contributions to the group report and presentation (details on the peer evaluation will be provided). Thus, your individual grade from the group assignment will be determined together by your group's grade for the project and an individual contribution coefficient that reflects your groupmates' and my evaluation of your individual contribution to the collective effort for the project.

The group case study report will be graded on five criteria, that are equally important:

- Organization and structure: The paper employs a logical framework and analyzes a critical issue.
- Depth of analysis: The paper demonstrates thorough research. The information is gathered from appropriate sources and is presented in a persuasive manner.
- Creativity and insight: The material is presented in an original, engaging, and interesting

manner.

- *Integration with course readings, lectures, and discussions:* The paper draws on, applies, and seeks to extend organizational behavior, leadership, and sustainability concepts covered in the class.
- *Style:* The report is smoothly and professionally written, using appropriate grammar, spelling, and punctuation.

Group Case Study Presentation (15 points): The last session of the course will be dedicated to presenting the group case study related work developed by each team. As each case will have a unique structure, the groups are expected to be self-directed, determining collectively what to highlight in the final presentation. The presentation should take 10-12 minutes (details will be discussed).

Feedback and Questions

I am committed to making this course a valuable learning experience for you. I welcome your feedback regarding the class at any time in the semester. Also, please feel free to ask questions as they arise. It is easiest to reach me by email (h.sabanci@fs.de), but I am always happy to set up an appointment. Additionally, if you have a disability that requires special accommodation, please let me know ASAP so that I can be helpful to you.

Session 1: The leader-as-architect: Designing and Managing an Organization

Readings:

1. Bernstein, Ethan, Ryan Raffaelli, and Joshua Margolis. "Leader-as-Architect: Alignment." Harvard Business School Background Note 415-039, October 2014.

Case:

1. Petriglieri, Snellman, & Solal. "Benjamin Millepied at the Paris Opera Ballet".

Questions to prepare for the class discussion:

1. How well do you think Millepied has done as a leader at the Paris Opera Ballet?
2. For what reasons was Millepied hired as director of the POB?
3. What do you think of the strategy Millepied seeks to implement? Which aspects do you agree with? Which aspects do you disagree with?
4. What are the sources of support for his strategy, and sources of resistance to it?
5. What, if anything, should Millepied do now?

Session 2: Are Leaders Really Necessary?

Readings:

1. Bernstein and Nohria. 2016. Note on organizational structure.

Case:

1. Askin & Petriglieri. 2016. Tony Hsieh at Zappos: Structure, Culture and Radical Change.

Questions to prepare for the class discussion:

1. Why do you think Tony Hsieh is making this change? Why is he doing it now?
2. How do you explain the fact that 14% of the employees took Hsieh up on his offer?
3. Would you want to work for Zappos before the transition to Holocracy? What about after the transition? Why or why not?
4. Using our course material on structure (readings), why do you think self-management is so difficult?

Session 3: Simulation: Information Sharing in Groups and Leadership

Leadership and Team Simulation: Everest

Through an award-winning simulation situated in the dramatic context of a Mount Everest expedition, we will examine information sharing in groups and leadership under challenging circumstances.

Session 4: Leadership Style and Motivation

Cases:

1. Snook SA, Perlow LA, DeLacey B. 2005. Coach Knight: The Will to Win
2. Snook SA, Perlow LA, DeLacey B. 2005. Coach K: A Matter of the Heart

Questions to prepare for the class discussion:

1. Compare and contrast Coach K, Coach Knight and Pat Summit. How are they different? How are they similar?
 - Describe Coach K's leadership style. What are his basic assumptions about motivation, leading and human nature?
 - Describe Coach Knight's leadership style. What are his basic assumptions about motivation, leading and human nature?
2. Who is most effective? Why? Under what conditions would you hire Coach K? Coach Knight?
3. Think of a time when someone else (manager / coach / teacher / parent) motivated you to perform at your best. Why were they effective?
4. Think of a time when you motivated others to perform at their best. Why were you effective?
5. What are your basic assumptions about motivation, leading and human nature?

Session 5: Leading Change

About this session:

We will first debrief the simulation results and discuss key challenges before proceeding with the Change Management discussion.

Change is a constant, and organizational change is a regular theme for any leader. Leading change is difficult because you need to convince people that they should give up habits, routines, and scripts that perhaps work well and make their lives easier. Leaders that are good at influencing social change processes understand what motivates people and how to get people to commit to new lines of thinking and action. In this session, we explore some of the challenges and traps that can derail leaders attempt to change organizations.

Readings:

1. Raffaelli, R. 2016. Leading and Managing Change (HBS).

Case:

1. Tushman, Winsor, Herman, 2020. Deloitte's Pixel (A): Consulting with Open Talent

Questions to prepare for the class discussion:

1. Why are Deloitte's senior leaders spending so much time on incubation?
2. What should David and Giorgio do regarding Pixel?
3. How should David and Giorgio manage internal skepticism regarding Pixel?
4. How strategic is Pixel to Deloitte? Is Pixel a Consulting opportunity or an opportunity more broadly within Deloitte?

Session 6: Working Together in Teams & Team Decision-Making

About this session:

Do teams make better decisions than individuals? In this session, we will discuss this question and establish a foundation for understanding the role of teams and teamwork in organizations. We will also do a role play exercise, that was inspired by a real team decision facing a major telecommunications company.

Readings:

1. Bernstein. 2016. Leading teams. HBR
2. Take this mini-test before class: <https://angeladuckworth.com/grit-scale/>
3. Watch these short videos:
<http://www.businessinsider.com/scientific-quiz-for-grit-2016-4>
<https://www.youtube.com/watch?v=sWctLEdIgi4>

Case:

1. Edmondson and Feldman 2016. The BCPC Internet Strategy Team

Preparation for the Class Discussion:

Please read this short case carefully. During the class, you will be assigned roles of different senior managers at the hypothetical Big City Phone Company (BCPC). We will then simulate a management team decision-making process by assuming roles of senior managers.

Session 7: Power and Leading Through Relationships

About this session:

What must we understand about the nature of power to help us “see” power and influence in our environment? This is an important session during which we will discuss personal, positional, and relational sources of power, key network dimensions and patterns in our own professional networks, strategies for cultivating and maintaining mutually enriching professional relationships, and how to read and diagnose an organization’s political landscape through power mapping.

Readings:

1. McGinn, K.L., and Lingo. E. L. 2007. Power and Influence: Achieving Your Objectives in Organizations (HBS note 9-801-425)

Case:

1. Battilana, J., Ramarajan, L., & Weber, J. (2012). Claude Grunitzky. Harvard Business School Organizational Behavior Unit Case, (412-065).

Questions to prepare for the class discussion:

1. How successful do you think Claude Grunitzky has been as an entrepreneur?
2. How would you describe Claude Grunitzky? Who is he as a person?
3. How did Claude Grunitzky build his networks?
4. How useful were these networks across different cultures and industries?

Session 8: Managing Yourself and Your Boss

About this session:

Managing your boss is an essential but often overlooked leadership activity. More importantly, to manage your boss you often need to first manage yourself. Managing yourself is probably the most important leadership activity, but looking inwards is hard work as we might discover things about ourselves that we don't like. Being mindful of who we are or who we are becoming requires ongoing reflection and awareness of our own actions, character, and flaws. Awareness of these features are important to manage yourself and your boss.

Readings:

1. C.S. Lewis. The inner ring. <https://www.lewissociety.org/innerring/>
2. Hill, L. A. 2007. Becoming the Boss, Harvard Business Review

Case:

1. Gabarro JJ, and Kaftan, C. 2011. Jamie Turner at MLI, Inc.

Questions to prepare for the class discussion:

1. What is your main insight or take away from 'the inner ring'? Why did I assign this reading? What is the point?
2. How did Turner get himself into this predicament? What is going on for Cardullo?
3. What did Pat Cardullo and Jamie Turner each initially bring to the situation at MLI that would seem to ensure success? Failure?
4. What were the key choice points where either of them could have done things differently?
5. How, if at all, should Turner approach Cardullo at the end of the case?

Session 9: Leadership for Sustainability

Readings:

1. Kiron, D., Kruschwitz, N., Haanaes, K., Reeves, M., Fuisz-Kehrbach, S. K., & Kell, G. (2015). Joining forces: Collaboration and leadership for sustainability. MIT Sloan Management Review.
2. N. Craig Smith & Ron Soonieus, "How Board Members Really Feel About ESG, from Deniers to True Believers" Harvard Business Review, April 2019 (digital article).

Case:

1. Barry Callebaut (A): To Follow the Chair? By: N. Craig Smith, Ron Soonieus, Lisa Duke

Questions to prepare for the class discussion:

1. Should the board follow Jacob's lead and back his push for sustainability?
2. What would real action for sustainability look like?

Session 10: Creating and Sharing Sustainable Value Among Multiple Stakeholders

Readings:

1. Milton Friedman, "The Social Responsibility of Business Is to Increase Its Profits," New York Times, September 13, 1970, <https://graphics8.nytimes.com/packages/pdf/business/miltonfriedman1970.pdf>
2. Freeman, R. Edward, Managing for Stakeholders (January 2007). Available at SSRN: <https://ssrn.com/abstract=1186402> or <http://dx.doi.org/10.2139/ssrn.1186402>

Case:

1. Danone: Leading Change by Rejigging Purpose? by Tulsi Jayakumar and Surya Tahora

Questions to prepare for the class discussion:

1. Why was Emmanuel Faber, the purpose-driven chief, ousted from the role of chair and CEO of Danone, a purpose-driven company?
2. What is the conflict between a company's pursuit of profits versus purpose?
3. How can Faber and Danone's board of directors defend the strategy of pursuing purpose?
4. Does Faber's ouster signal Danone's rejection of responsible capitalism and change in its purpose?
5. What should Danone's new CEO do now? How should they manage the dual mandate during the pandemic-led economic downturn? What should the CEO do after the pandemic?